

26STCV12927 26STCV12927

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Case Number: 26STCV12927 Hearing Date: September 9, 2026 Dept: 307

20 TENTATIVE RULING 9:15 a.m., Tuesday, Sept. 9, 2026

EDDIE

NISHIYAMA v. U.S. BANK, N.A., et al. [26STCV12927]

[A]

DEFENDANT U.S. BANK N.A.'S DEMURRER TO THE COMPLAINT

[B] DEFENDANT

JPMORGAN CHASE BANK, N.A.'S DEMURRER TO THE COMPLAINT

NOTICE:

OK

MEET AND

CONFER: [A] OK U.S.

Bank's counsel declares that the parties met and conferred telephonically in

compliance with Code Civ. Proc. § 430.41 (Lilly Decl., ¶ 2(a).); [B]

DEFECTIVE Chase's counsel declares that he attempted to schedule a meet and

confer telephone conference but did not receive a response from Plaintiff's

counsel. (Busu Decl., ¶¶ 2-3.)

TIMELINE:

Forged check endorsement action

Unknown

Date(s): Plaintiff Eddie Nishiyama ("Plaintiff"), an 84-year-old man,

maintains

a bank account with Defendant U.S. Bank, N.A. ("U.S. Bank"), including account number ending x8277 (the "Account"). Plaintiff customarily uses the Account to pay federal and California taxes, including checks payable to the IRS and California Franchise Tax Board.

10/2024: Plaintiff issues legitimate tax checks

from the Account, payable to the U.S. Treasury and Franchise Tax Board.

Thereafter, unidentified criminal actor(s), who Plaintiff alleges may be employed by U.S. Bank, intercept and alter/copy Plaintiff's tax-payment checks and create a forged check payable to "Travel Parker" in the amount of \$51,492.00 bearing Plaintiff's signature but without Plaintiff's authorization (the "Forged Check"). The Forged Check is later deposited into a private account at Defendant JPMorgan Chase Bank, N.A. ("Chase" or collectively with U.S. Bank, the "Bank Defendants"). The Bank Defendants accept, process, and pay the Forged Check, debiting Plaintiff's Account.

Unknown Date(s): Plaintiff reports the fraud

and completes U.S. Bank's fraud affidavits; however, the Bank Defendants refuse to reimburse Plaintiff for the value of the Forged Check.[1]

4/22/2026: Plaintiff files the Complaint, alleging causes of action for:

1. Negligence
2. UCC Claims
3. Breach of Contract
4. Fraud – Intentional Concealment
5. Conversion of Financial Instrument
6. Financial Elder Abuse
7. Unfair Business Practices

7/14/2026: U.S. Bank files this Demurrer, which is followed by Plaintiff's Opposition (8/4/2026). As of 9/4/2026, no Reply has

been received.

7/15/2026: Chase files this Demurrer, which is followed by Plaintiff's Opposition (8/4/2026) and Chase's Reply (9/1/2026).

TENTATIVE

RULING: DEFENDANT U.S. BANK N.A.'S DEMURRER TO THE COMPLAINT is SUSTAINED with LEAVE TO AMEND in part and SUSTAINED without leave to amend in part.

DEFENDANT

JPMORGAN CHASE BANK, N.A.'S DEMURRER TO THE COMPLAINT is SUSTAINED with LEAVE TO AMEND in part and SUSTAINED without leave to amend in part.

I. U.S.

BANK'S DEMURRER

U.S.

Bank demurs to the entire Complaint and each cause of action therein pursuant to Code Civ. Proc. § 430.10, subd. (e).

A.

Statute

of Limitations – SUSTAINED with LEAVE TO AMEND

U.S. Bank

argues that each cause of action in the Complaint is time-barred pursuant to Code Civ. Proc. § 340. Code Civ. Proc. § 340,

subd. (c) provides a one-year limitations period for any action “by a depositor against a bank for the payment of a forged or raised check, or a check that bears a forged or unauthorized endorsement...” (Code Civ. Proc., § 340, subd. (c).)

“The one-year limitations period ... begins to run when the charge is reported to the depositor in a regular monthly account statement.” (Chatsky &

Associates v. Superior Court (2004) 117 Cal.App.4th 873, 877 (Chatsky).)

Further, Com. Code § 4406, subd. (f) “precludes a bank customer from asserting a claim against a bank based on an unauthorized signature unless the customer has discovered and reported the unauthorized signature within one year

after a statement of account showing payment of the item, or the item itself,

was ‘made available to the customer.’” (Mac v. Bank of America (1999) 76

Cal.App.4th 562, 565 (Mac).) “Both periods apply to any cause of action

by a customer against a bank premised on a forged check, regardless of how the

pleadings are framed.” (Ibid.) When read together, these two statutory restrictions require the bank customer to both notify the bank of forgery and commence an action against the bank within one year. (Roy Supply, Inc. v. Wells Fargo Bank (1995) 39 Cal.App.4th 1051, 1067 (Roy).)

Here, Code Civ. Proc. § 340, subd. (c) and Com. Code § 4406, subd. (f) govern the entire Complaint because the gravamen of U.S. Bank’s alleged liability is its failure to reimburse Plaintiff for the value of the Forged Check debited from Plaintiff’s Account. (See Compl., generally.) Plaintiff filed his Complaint on April 22, 2026, and thus, to avoid U.S. Bank’s statute of limitations defense, Plaintiff must demonstrate that the charge from the Forged Check was reported to Plaintiff on or after April 22, 2025. (Chatsky, supra, 117 Cal.App.4th at p. 877.) The Court finds that Plaintiff has not alleged adequate facts in his Complaint to make this showing.

Generally,

“[t]he date a check was paid can support an inference that it was the subject of a monthly statement over a year before a suit was filed or an unauthorized signature reported.” (Mac, supra, 76 Cal.App.4th at pp. 565–566.) In this case, the Complaint does not identify the date on which the Forged Check funds were erroneously paid from Plaintiff’s Account, the date on which Plaintiff discovered the forgery, or the date on which Plaintiff notified U.S. Bank of the forged check. However, Plaintiff alleges he issued the underlying tax-payment check in October 2024. (Compl., ¶ 11.) Given the 18-month period between the issuance of the tax-payment checks and the filing of this lawsuit, U.S. Bank argues that the Court should infer that the October 2024 checks were likely the subject of a monthly bank statement more than a year before Plaintiff commenced this lawsuit in April 2026. In Roy, the Court of Appeal concluded that it was appropriate for the trial court to sustain a demurrer to causes of action based on forged checks that were identified by dates more than one year in advance of plaintiffs’ demand but where there was insufficient information to conclude that the checks must have been the subject of account statements which were sent or made available to the plaintiff more than one year prior to the demand. (Roy, supra, 39 Cal.App.4th at pp. 1074–1075, fn. 27.) The Roy court concluded that the plaintiffs “should be accorded an opportunity to amend to set forth with greater certainty any checks that were the subject of statements of account within one year preceding their demand upon the defendant.” (Ibid.) Like in Roy, here, Plaintiff should be permitted to amend his Complaint to resolve the uncertainty as to whether the Forged Check was the subject of an account

statement on or after April 2025.

Plaintiff

concedes that he did not “immediately discover the fraud” because the Bank Defendants “failed to provide prompt notice, disclosure, or explanation of the unauthorized transaction” and only notified Plaintiff through paperless statements. (Compl., ¶ 17.)

Regardless, the one-year limitations period under Code Civ. Proc. § 340, subd. (c) begins to run not based on the Plaintiff’s actual notice of the fraudulent withdrawal but based on the Plaintiff’s constructive notice based on “when the charge is reported to the depositor in a regular monthly account statement.” (Chatsky, supra, 117 Cal.App.4th at p. 877.)

The Court of Appeal has expressly refused to interpret the one-year limitations period to run from the actual discovery of the fraud. (Edgington v. Security-First Nat. Bank of Los Angeles (1947) 78 Cal.App.2d 849,

859 [“The appellant’s contention that full recovery on all checks should be allowed, notwithstanding the fact that more than one year had elapsed since the return of certain of the canceled checks, cannot be sustained.”].) Plaintiff’s allegation that he was only electronically notified of the contents of his “paperless” account statements does not excuse him of the obligation to diligently examine his statements to identify potential fraud. (Com. Code, § 4406, subd. (c) [“If a bank sends or makes available a statement of account ... the customer shall exercise reasonable promptness in examining the statement or the items to determine whether any payment was not authorized because of an alteration of an item or because a purported signature by or on behalf of the customer was not authorized.”].) Plaintiff has not identified any legal authority which suggests that a bank’s default paperless settings are inadequate to make account statements “available” for their customers’ review. Plaintiff has not alleged any facts to suggest that he did not have the ability to access his paperless account statements, nor does he specifically allege that the Forged Check payment was omitted from the appropriate monthly account statement. To the extent that Plaintiff is alleging that he was not timely notified about the fraudulent withdrawal by U.S. Bank in any manner, including through his regular monthly account statements, Plaintiff should allege more specific facts to clarify that his claims did not accrue on the timeline asserted by U.S. Bank.

Therefore,

U.S. Bank’s demurrer to the entire Complaint based on its statute of limitations defense is SUSTAINED with LEAVE TO AMEND.

B.

1st

Cause of Action: Negligence – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against U.S. Bank for common law negligence. Plaintiff's negligence cause of action alleges that U.S. Bank breached its duty of care to Plaintiff "by paying a forged and altered check, failing to detect obvious indicia of fraud, and failing to provide timely notice." (Compl., ¶ 34.)

U.S. Bank

argues that Plaintiff's common law negligence claim is displaced by the Com. Code. "[A] bank's absolute liability for payment of a forged check is statutory and contractual in nature and arises from the bank's contractual undertaking to make payment only upon the customer's authorized signature." (Roy, supra, 39 Cal.App.4th at p. 1066.) "Divisions 3 and 4 of the Code contain detailed statutory provisions governing the relationship between banks and customers with respect to checks." (Id., at p. 1058.) Com. Code § 4406, subd. (f) applies "[w]ithout regard to care or lack of care of either the customer or the bank..." (Com. Code, § 4406, subd. (f).) The Court of Appeal has determined that the applicable Com. Code provisions "are controlling and must be deemed to displace common law negligence principles with respect to the payment of forged checks by a payor bank." (Roy, supra, 39 Cal.App.4th at p. 1067.)

Here, Plaintiff

seeks to impose common law negligence liability against U.S. Bank on the basis that it wrongfully paid the Forged Check. Under Roy, where a bank customer's negligence claim arises out of the bank's acceptance and payment of forged checks, the claim must be displaced by the statutory framework already provided by the Com. Code. (Roy, supra, 39 Cal.App.4th at p. 1067.) Tellingly, Plaintiff's second cause of action asserts various Com. Code claims premised on the same conduct underlying Plaintiff's negligence claim, namely, U.S. Bank's alleged failure to identify or disclose the Forged Check and the processing and payment of the Forged Check. (Compl., ¶ 41.)

Plaintiff is not entitled to duplicate common law recovery for the same conduct which also falls within the scope of his statutory claims.

Therefore,

U.S. Bank's demurrer to the first cause of action in the Complaint is SUSTAINED

with LEAVE TO AMEND. In

light of California's policy favoring the liberal amendment of pleadings, the Court will permit Plaintiff to amend this cause of action to the extent that he is able to state an independent basis for negligence that does not duplicate his statutory claims.

C.

2nd

Cause of Action: Violations of the UCC – SUSTAINED with LEAVE TO AMEND

Plaintiff's

second cause of action is inadequately pled. Plaintiff's UCC claim alleges that U.S. Bank violated sections 1-304, 3-103, 3-406, 4-103, 4-202, and 4-401 of the UCC based primarily on U.S. Bank's wrongful payment of the Forged Check. (Compl., ¶¶ 41, 54.)

As a

preliminary matter, U.S. Bank argues that Plaintiff merely alleges violations of the model UCC as opposed to the California Commercial Code.

Practically speaking, these codes are routinely used interchangeably, and thus, it can reasonably be inferred that Plaintiff intended to allege violations of California's version of the Com. Code. (See *McBride v. Boughton* (2004) 123 Cal.App.4th 379, 385 ["we give the complaint a reasonable interpretation, reading it as a whole and its parts in their context, and ignoring erroneous or confusing labels if the complaint pleads facts which would entitle the plaintiff to relief."].)

Notwithstanding

the labeling of this statutory claim, the issue with Plaintiff's second cause of action is that it is overly broad and not sufficiently particularized to U.S. Bank's alleged wrongdoing or U.S. Bank's role as the payor bank.

Plaintiff's second cause of action combines alleged violations of Com. Code §§ 1304, 3103, 3406, 4103, 4202, and 4401 into a single cause of action. Most of these sections fail to provide an independent basis for liability, making the cause of action impermissibly uncertain and overbroad. Even to the extent that these sections are relevant, Plaintiff has not alleged adequate facts to state a cognizable statutory cause of action against U.S. Bank.

First, sections

1304, 3103, and 3406 do not provide an independent right of action. For

example, section 1304 imposes an implied duty of good faith with respect to the entire statutory framework, but Comment [1] to section 1304 expressly clarifies that it “does not support an independent cause of action for failure to perform or enforce in good faith.” (Com. Code, § 1304, cmt. [1].) Likewise, section 3103 merely provides the definitions for terms used in Division 3 of the Com. Code. Additionally, section 3406 is a defense which bars a person whose negligence contributed “to an alteration of an instrument or to the making of a forged signature on an instrument” from asserting a claim based on the alteration or forgery against a person who, in good faith, pays for the instrument. (Com. Code, § 3406, subd. (a).)

Second,

sections 4103 and 4202 are not supported by relevant factual allegations with respect to the misconduct of U.S. Bank. Division 4 of the Com. Code “governs bank deposits and collections, including the care a bank is required to exercise when handling deposited checks and the damages available when a bank fails to exercise such care.” (Holcomb v. Wells Fargo Bank, N.A. (2007) 155 Cal.App.4th 490, 500.) Section 4103 merely provides that the parties cannot agree to disclaim a bank's responsibility for bad faith or negligence in violation of Division 4. (Id., quoting Com. Code, § 4103, subd. (a).) Plaintiff makes no allegations of such an agreement with U.S. Bank. Meanwhile, section 4202 applies only to a “collecting bank,” but here, Plaintiff expressly concedes U.S. Bank is the payor, not the payee. (Compl., ¶ 39; Com. Code, § 4202.) Thus, neither of these statutes are relevant to the allegations involving U.S. Bank here.

Third, section

4401 appears to be the only relevant section to Plaintiff's specific factual allegations against U.S. Bank. Section 4401 summarizes the conditions under which a bank may charge a customer's account. (Com. Code, § 4401.) “By negative implication, a check with an unauthorized signature is not properly payable, and the bank breaches its agreement with its customer when paying such an item.” (Danning v. Bank of America (1984) 151 Cal.App.3d 961, 969.) Thus, section 4401 is the primary statutory basis for a depositor's claim against a bank that has improperly paid a forged check. (See e.g. Edward Fineman Co. v. Superior Court (1998) 66 Cal.App.4th 1110, 1117 (Edward Fineman).)

Here, however,

Plaintiff has not alleged adequate facts to state a cognizable claim against U.S. Bank for the violation of section 4401. First, section 4401 is “founded

upon contract,” however, Plaintiff has not clearly identified the specific contractual agreement or the contractual terms breached by U.S. Bank. (Edward Fineman, *supra*, 66 Cal.App.4th at p. 1117.) Instead, Plaintiff only vaguely references U.S. Bank’s “non-delegable duties under the [UCC]...” (Compl., ¶ 40.) Second, Plaintiff does not identify any facts describing how U.S. Bank failed to notify Plaintiff about the Forged Check withdrawal. Third, Plaintiff concludes that the check had “obvious red flags,” but he does not allege adequate factual details to clarify that the specific Forged Check payment would have been unusual for his Account or identifying details of the forgery that made the check appear suspicious on its face. Fourth, Plaintiff repeatedly relies on group pleading without distinguishing the wrongful conduct of the two Bank Defendants. Overall, the Court agrees with U.S. Bank that Plaintiff’s allegations are overly vague, conclusory, and overbroad, thereby failing to demonstrate specific statutory violations by U.S. Bank.

Therefore,
U.S. Bank’s demurrer to the second cause of action in the Complaint is
SUSTAINED with LEAVE TO AMEND.

D.

3rd

Cause of Action: Breach of Contract – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against U.S. Bank for breach of contract. To plead a cause of action for breach of contract, a plaintiff must allege:

“(1)

the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s

breach, and (4) the resulting damages to the plaintiff.” (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.)

Here,

Plaintiff’s vague reference to a “deposit account agreement” is insufficient to plead the first element of his contract claim. (Compl., ¶ 45.) A plaintiff alleging breach of contract is not required to attach the contract, or to plead terms verbatim. (Miles v. Deutsche Bank Nat’l Trust Co. (2015) 236 Cal.App.4th 394, 402.) Instead, “the plaintiff may plead the legal effect of the contract rather than its precise language.” (Ochs v. PacificCare of Cal. (2004) 115 Cal.App.4th 782, 795.) In this case, Plaintiff has neither attached a copy of the “deposit

account agreement,” nor identified either the legal effect of the purported contract with U.S. Bank or the material terms which U.S. Bank breached. The Court cannot infer a material contractual breach based on the mere existence of an Account at U.S. Bank. Plaintiff is required to more clearly establish the existence of a contract between U.S. Bank and Plaintiff and to identify the specific terms which were purportedly breached to assert a common law contract claim against U.S. Bank as a matter of law.

Notably,

Plaintiff alleges that the Bank Defendants breached their alleged account agreements with Plaintiff “by failing to safeguard Plaintiff’s funds and by honoring a forged check.” (Compl., ¶ 45.) Even assuming Plaintiff had adequately alleged the existence of a contract with U.S. Bank, it is unclear how this breach is distinguishable from the wrongdoing underlying Plaintiff’s claim under Com. Code § 4401. If Plaintiff amends this cause of action, he should ensure that the common law breach of contract claim is not duplicative of his statutory theories.

Therefore,

U.S. Bank’s demurrer to the third cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

E.

4th

Cause of Action: Intentional Concealment – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against U.S. Bank for intentional concealment. To establish a claim for fraud based on concealment, the plaintiff must allege the following elements: (1) the defendant concealed or suppressed a material fact, (2) the defendant was under a duty to disclose the fact to the plaintiff, (3) the defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff was unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff sustained damage. (Knutson v. Foster (2018) 25 Cal.App.5th 1075, 1091.)

Here,

Plaintiff alleges that the Bank Defendants “concealed material facts concerning

the nature, deposit, negotiation, and payment" of the Forged Check, despite their exclusive knowledge of and duty to disclose such facts. (Compl., ¶ 48.) These allegations are not pled with the requisite level of specificity to overcome the heightened pleading standard for fraud. In California, "[t]he facts constituting the fraud, including every element of the cause of action, must be alleged factually and specifically." (Apollo Cap. Fund, LLC v. Roth Cap. Partners, LLC (2007) 158 Cal. App. 4th 226, 240.) "California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim." (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 43 (Rattagan).) "This particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) Further, "[t]he requirement of specificity in a fraud action against a corporation requires the plaintiff to allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written." (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 157.)

Here, Plaintiff must allege more specific factual details clarifying what was concealed from him by U.S. Bank in particular (as opposed to the other Defendants) and what U.S. Bank was exclusively responsible for disclosing to Plaintiff. Further, Plaintiff has not identified the names or positions of the specific U.S. Bank employees who concealed information from Plaintiff. He has not alleged what, specifically, U.S. Bank should have disclosed to him, or when and by what means the information should have been disclosed. It remains unclear whether Plaintiff is alleging that the Forged Check deposit was withheld from the appropriate monthly statement, or whether Plaintiff is alleging that U.S. Bank should have taken additional measures beyond reporting the withdrawal on his account statement. Plaintiff's vague and conclusory allegations are insufficient to put U.S. Bank on notice of the nature, source, and scope of the purported concealment from Plaintiff such that U.S. Bank cannot reasonably respond to Plaintiff's intentional concealment allegations.

Therefore,
U.S. Bank's demurrer to the fourth cause of action in the Complaint is

SUSTAINED with LEAVE TO AMEND.

F.

5th

Cause of Action: Conversion of Negotiable Instrument (UCC § 3-420) – SUSTAINED without leave to amend

Plaintiff's

fifth cause of action is insufficiently pled. The issue with Plaintiff's fifth cause of action for conversion is that a claim for an alleged violation of Com. Code § 3420 cannot be maintained by the "issuer" of the converted instrument. Under Com. Code § 3420, an instrument is converted where "a bank makes or obtains payment with respect to the instrument for a person not entitled to enforce the instrument or receive payment." (Com. Code, § 3420, subd. (a.) However, a claim for conversion of an instrument may not be asserted by "the issuer or acceptor of the instrument..." (Ibid.) "The California Commercial Code defines an 'issuer' as the maker or drawer of the check. [Citation.] In turn, a 'drawer' is defined as the 'person who signs or is identified in a [check] as a person ordering payment.'" (A.B. Concrete Coating Inc. v. Wells Fargo Bank, National Association (E.D. Cal. 2020) 491 F.Supp.3d 727, 734.) As Plaintiff admits that the Forged Check maintained his signature and pertained to funds from his Account, Plaintiff cannot overcome the inference that he is the "issuer" of the converted check. (Compl., ¶ 13.) Because Plaintiff's conversion claim is predicated on a check that he issued, Plaintiff cannot state a viable claim for violation of Com. Code § 3420.

Therefore,

U.S. Bank's demurrer to the fifth cause of action in the Complaint is SUSTAINED without leave to amend.

G.

6th

Cause of Action: Financial Elder Abuse – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against U.S. Bank for financial elder abuse. "[T]he Elder Abuse Act provides that any person who takes, secretes, appropriates, obtains or retains [or assists in taking, secreting, appropriating, obtaining, or retaining] real or personal property of 'an elder'—a person residing in this state who is 65

years or older—for a wrongful use or with the intent to defraud or by undue influence is liable for elder financial abuse.” (Tepper v. Wilkins (2017) 10 Cal.App.5th 1198, 1204-05, internal citations omitted; see Welf. & Inst. Code § 15610.30, subd. (a).)

Here, Plaintiff alleges that U.S. Bank “took and retained Plaintiff’s property, and assisted other in taking and retaining property, by honoring and paying the Forged Check and debiting Plaintiff’s account in the amount of approximately \$51,492, despite obvious indicators of fraud and Plaintiff’s known status as an elder.” (Compl., ¶ 59.) Plaintiff further alleges that U.S. Bank assisted in the taking and retention of Plaintiff’s property “by failing to timely notify Plaintiff that a five-figure check drawn on his account had been diverted or fraudulently negotiated.” (Id., ¶ 60.)

First, U.S.

Bank argues that Plaintiff’s allegations are inconsistent with a finding that U.S. Bank directly took, secreted, appropriated, obtained, or retained Plaintiff’s funds because Plaintiff admits that “criminal actors” obtained and appropriated Plaintiff’s tax-payment checks and deposited the checks in an account at Chase. (Compl., ¶¶ 13, 15.) Plaintiff also admits that U.S. Bank was merely the payor bank, so at no time did U.S. Bank wrongfully take possession of Plaintiff’s funds. (Id., ¶ 15.) Instead, Plaintiff’s theory of financial elder abuse must be limited to allegations that U.S. Bank merely assisted others in the taking, secreting, appropriating, obtaining, or retaining Plaintiff’s property.

Second,

with respect to the allegations that U.S. Bank assisted in the taking of Plaintiff’s property, Plaintiff has not alleged sufficient facts to overcome the scienter requirement for a claim of financial elder abuse. In claims for the assistance in an act of financial abuse against banks, courts have applied the “aiding and abetting” framework drawn from tort law. (Das v. Bank of America, N.A. (2010) 186 Cal.App.4th 727, 741.) “[A] bank may be liable as an aider and abettor of a tort if the bank, in providing ordinary services, ‘actually knew those transactions were assisting the customer in committing a specific tort.’” (Id., at p. 745.) In other words, where a bank provides ordinary services that effectuate financial abuse by a third party, “the bank may be found to have ‘assisted’ the financial abuse only if it knew of the third party’s wrongful conduct.” (Ibid.)

Here,

Plaintiff does not allege that U.S. Bank had specific knowledge of the unidentified “criminal actors” tortious conduct. While Plaintiff vaguely suggests that there were “obvious indicators of fraud” in connection with the Forged Check, Plaintiff does not allege adequate factual details explaining why U.S. Bank should have known that the Forged Check was forged and fraudulent. (Compl., ¶¶ 16, 59.) Further, while Plaintiff speculates that the “criminal actors” were potentially employed by U.S. Bank, he alleges no facts to support such a conclusion. (Id., ¶¶ 4, 13.) To state a claim for assisting in financial elder abuse, Plaintiff must at least allege facts demonstrating that the decision-makers at U.S. Bank actually knew of facts indicating that the Forged Check was forged.

Therefore,

U.S. Bank’s demurrer to the sixth cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

H.

7th

Cause of Action: Unfair Competition (Bus. & Prof. Code § 17200) – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against U.S. Bank for unfair business practices because the claim is entirely derivative of Plaintiff’s first through sixth causes of action, which also fail. Specifically, Plaintiff’s UCL claim alleges that Defendants engaged in “unlawful, unfair, and fraudulent business practices by paying forged checks, concealing material facts, shifting losses to innocent customers, and maintaining paperless-by-default policies that conceal fraud and impair timely discovery.” (Compl., ¶ 66.)

These allegations suggest that the “unlawful, unfair, and fraudulent” conduct underlying Plaintiff’s UCL claim is wholly identical to the misconduct underlying Plaintiff’s negligence, contract, fraud, and statutory claims.

Because Plaintiff has not adequately stated a cause of action based on these facts, his derivative UCL claim also must fail. (Nein v. HostPro, Inc.

(2009) 174 Cal.App.4th 833, 841 (Nein) [“Where a UCL claim is derivative of another claim that fails as a matter of law, the UCL claim must similarly fail.”].) Therefore, U.S. Bank’s demurrer to the seventh cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

II. CHASE'S DEMURRER

Chase demurs to the first through fifth and seventh causes of action in Plaintiff's complaint pursuant to Code Civ. Proc. §§ 430.10, subds. (e) and (f).

A.

1st

Cause of Action: Negligence – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to adequately state a claim against Chase for common law negligence.

Plaintiff seeks to hold Chase liable for negligence on the basis that Chase breached its duty of care to Plaintiff "by paying a forged and altered check, failing to detect obvious indicia of fraud, and failing to provide timely notice." (Compl., ¶ 34.)

First, Chase

argues that Plaintiff has not alleged facts demonstrating that Chase owed a legal duty to Plaintiff. Plaintiff admits that his Account was maintained at U.S. Bank, but he does not allege that he maintained any account or had some other direct relationship with Chase. (Compl., ¶ 10.) With respect to Plaintiff's allegations regarding the payment and notification related to the Forged Check, a bank generally does not owe a duty of care to a noncustomer, "absent extraordinary and specific facts." (Software Design & Application, Ltd. v. Hoefer & Arnett, Inc. (1996) 49 Cal.App.4th 472, 473.) While a bank may owe a limited duty of inquiry where "a check presented for deposit bears some objective signs of fraud," Plaintiff has not alleged sufficient facts to suggest that there was a foreseeable risk of injury to Plaintiff. (Ibid.) Although Plaintiff concludes that there were "obvious red flags," the limited factual alleged in support of this premise are vague. (Compl., ¶¶ 16, 19.) For example, the Complaint does not identify how Chase would have known that the payment amount was unusual for Plaintiff, whether the alteration of the payee was detectable, or whether there were any specific features of the instrument itself which would have given notice to Chase that the check was a forgery. Plaintiff also has not alleged any facts to suggest that the "Travel Parker" account at Chase had a history of fraudulent payments or other facts to suggest that Chase would have objective notice of the fraud.

Second,

Chase argues that Plaintiff's common law negligence theory is displaced by the Com. Code. Although Plaintiff's statutory claims are uncertain, to the extent that Plaintiff attempts to concurrently plead negligence and violations of the Com. Code, his common law negligence theory will likely be displaced. (See supra, Section I.B; see *Gil v. Bank of America, N.A.* (2006) 138 Cal.App.4th 1371, 1375.)

Therefore,

Chase's demurrer to the first cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

B.

2nd

Cause of Action: Violations of the UCC – SUSTAINED with LEAVE TO AMEND

Plaintiff's

second cause of action for violations of UCC sections 1-304, 3-103, 3-406, 4-103, 4-202, and 4-401 is insufficiently pled. (Compl., ¶¶ 41, 54.) The Court construes Plaintiff's UCC claims as violations of the corresponding California Com. Code sections. (See supra, Section I.C.)

Chase

argues that Plaintiff's statutory claims fail because the cited provisions of the Com. Code either do not provide a private cause of action or are not supported by adequate facts to state a claim. As described above, Com. Code §§ 1304, 3103, and 3406 do not provide an independent basis for liability. (See supra, Section I.C.) Plaintiff also fails to demonstrate the applicability of sections 4103 and 4401 because he has not alleged that he maintained an account or had any other relationship with Chase.

(Ibid.) Finally,

section 4202 requires a "collecting bank" to exercise ordinary care in the following actions: "(1) Presenting an item or sending it for presentment. [¶] (2) Sending notice of dishonor or nonpayment or returning an item other than a documentary draft to the bank's transferor after learning that the item has not been paid or accepted, as the case may be. [¶] (3)

Settling for an item when the bank receives final settlement. [¶]

[and] (4) Notifying its transferor of any loss or delay in transit within a reasonable time after discovery thereof." (Com. Code, § 4202, subd. (a).) However, Plaintiff fails to specify which of these circumstances Chase failed to conform with. Plaintiff also fails to allege any specific facts to suggest that any of these provisions apply here, given that he is only alleging that Chase accepted

the Forged Check. Ultimately, Plaintiff's various references to seemingly inapplicable provisions of the Com. Code render this cause of action uncertain with respect to Chase.

Therefore,

Chase's demurrer to the second cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

C.

3rd

Cause of Action: Breach of Contract – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against Chase for breach of contract. At minimum, Plaintiff has not specifically identified any contractual relationship between himself and Chase. Plaintiff appears to allege that the contract underlying his third cause of action is his "deposit account agreement," but Plaintiff does not allege that he maintained an account with Chase. (Compl., ¶ 45.) For the same reasons described above with respect to U.S. Bank, Plaintiff's failure to adequately identify any contract with Chase renders his breach of contract claim conclusory and uncertain. (See supra, Section I.D.)

Therefore,

Chase's demurrer to the third cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

D.

4th

Cause of Action: Intentional Concealment – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against Chase for intentional concealment. Like the fraud claim against U.S. Bank, Plaintiff alleges that Chase "concealed material facts concerning the nature, deposit, negotiation, and payment of the forged check," despite the Bank Defendants' exclusive knowledge and a duty to disclose such facts. (Compl., ¶ 48.)

First,

the Court finds that these allegations are not pled with the requisite level of particularity for fraud. Plaintiff has not alleged adequate facts to determine

what was concealed from Plaintiff by Chase in particular or what Chase would have been responsible for disclosing to Plaintiff. Plaintiff has not identified the names or positions of any Chase employees who concealed information from Plaintiff. Nor has Plaintiff alleged when or by what means Chase was required to disclose information to Plaintiff. Further, Plaintiff has not identified adequate facts to show that Chase even knew that the Forged Check was forged or that Plaintiff did not intend to pay "Travel Parker." In sum, Plaintiff's vague and conclusory allegations are insufficient to put Chase on notice of the nature, source, and scope of the purported concealment from Plaintiff.

Second, Plaintiff has not alleged any facts to suggest that Chase was under a duty to disclose any information to Plaintiff. The California Supreme Court "has described the necessary relationship giving rise to a duty to disclose as a 'transaction' between the plaintiff and defendant." (*BiglerEngler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large." (*Rattagan*, supra, 17 Cal.5th at p. 41.) For example, "a duty to disclose may arise from the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement." (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.) Here, the Complaint contains no facts to suggest that Plaintiff had any "direct dealings" with Chase that would give rise to the type of transactional relationship necessary to impose a duty to disclose the check forgery to Plaintiff.

Therefore,
Chase's demurrer to the fourth cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

E.

5th

Cause of Action: Conversion of Negotiable Instrument (UCC § 3-420) – SUSTAINED without leave to amend

Plaintiff's

fifth cause of action is insufficiently pled. As described above, Plaintiff cannot state a claim for conversion in violation of Com. Code § 3420 because this claim cannot be maintained by the "issuer" of the converted

instrument. (See supra, Section I.F; see Com. Code, § 3420, subd. (a.)

Because Plaintiff admits that he initially executed the tax check, and that the Forged Check maintained his signature and pertained to funds from his Account, Plaintiff cannot overcome the inference that he is the “issuer” of the converted check. (Compl., ¶ 13.)

Therefore,

Chase's demurrer to the fifth cause of action in the Complaint is SUSTAINED without leave to amend.

F.

7th

Cause of Action: Unfair Competition (Bus. & Prof. Code § 17200) – SUSTAINED with LEAVE TO AMEND

Plaintiff

fails to state a claim against Chase for unfair business practices because this claim is entirely derivative of Plaintiff's first through fifth causes of action against Chase, which also fail. (Compl., ¶ 66.) Because Plaintiff has not adequately stated any claim based on the underlying negligence, breach of contract, fraud, or statutory violations, his UCL claim based on the same conduct must also fail. (See supra, Section I.G; see *Nein*, supra, 174 Cal.App.4th at p. 841.)

Therefore,

Chase's demurrer to the seventh cause of action in the Complaint is SUSTAINED with LEAVE TO AMEND.

Defendant U.S. Bank, N.A. and JPMorgan Chase

Bank, N.A. to serve notice of the respective rulings. This tentative ruling (“TR”) shall be the order of the Court unless changed at the hearing and shall by this reference be incorporated into the Minute Order.

TR

emailed to counsel and posted to court website on 9/8/26 at 2 p.m.

[1] U.S. Bank did, however, acknowledge another fraudulent check in the amount of \$125,510.00, originally made payable to the U.S. Treasury, which was reimbursed to Plaintiff in full by U.S. Bank. (Compl., ¶ 20.)